BANK POLICY

Development Policy Financing

Policy

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Content	This Policy sets out principles and documentation controls for Development Policy Financing (DPF).
Applicable to	Illustrative development financing operations
Issuer	Policy Oversight Office (sample)
Sponsor	Development Financing Policy Unit (sample)

DOCUMENT STATUS

Illustrative policy text created for document-comparison and evidence-analysis testing. It is not issued by, affiliated with, or approved by any real financial institution.

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SECTION I – PURPOSE AND APPLICATION

1. This Policy establishes the principles, minimum documentation, and review controls for Development Policy Financing (DPF) supporting a Member Country’s development program.

2. This Policy applies to financing operations prepared, reviewed, approved, monitored, and administered under the applicable financing framework. Each operation must maintain a traceable record of key assessments and decisions.

SECTION II – DEFINITIONS

3. For purposes of this Policy, the following terms apply:

a. Development Policy Financing (DPF) means financing provided in support of a program of policy and institutional actions.

b. Member Country means an eligible country receiving or requesting DPF.

c. Program Document means the document describing the supported program, its expected results, the appraisal, material risks, and the evidence supporting the assessment.

d. Prior Action means a policy or institutional action expected to be completed before approval or disbursement, as applicable, with completion evidence recorded against the relevant action.

e. Financing Agreement means the legal agreement setting out the terms and conditions of the financing.

f. Evidence Register means the controlled list linking each material policy requirement, assessment, decision, and monitoring result to its supporting record.

SECTION III – SCOPE AND ELIGIBILITY

4. DPF may be provided as a policy-based loan or guarantee to address actual or anticipated development financing requirements, subject to documented eligibility and approval requirements.

5. The institution assesses the Member Country’s economic circumstances, policy framework, governance, poverty and social considerations, environmental and natural-resource considerations, and capacity to implement the proposed program. The assessment must identify the sources reviewed and any material information gaps.

6. Financing may proceed only where the macroeconomic framework is considered adequate and the proposed program is supported by a credible set of policy and institutional actions. The appraisal must record the rationale for the adequacy determination and the responsible reviewer.

7. The Program Document describes development objectives, policy actions, expected results, measurable indicators where feasible, baseline and target values where available, implementation responsibilities, and material assumptions.

SECTION IV – PROGRAM DESIGN AND IMPLEMENTATION

8. The program should be consistent with the Member Country’s development strategy. Each expected result should be linked to an indicator, a source of verification, and a responsible monitoring party where practicable.

9. The institution considers relevant analysis of economic, social, environmental, governance, and public financial management issues. Material analytical gaps must be recorded with a mitigation action, an owner, and a target date.

10. The Member Country is responsible for implementing the agreed program. The institution reviews progress at defined supervision points and records whether the program remains consistent with the agreed objectives.

11. Implementation risks must be rated by likelihood and impact using the institution’s approved scale. For each material risk, the Program Document or risk register must identify a mitigation measure, an accountable owner, and a review date.

12. Changes to a material policy action, indicator, or implementation assumption must be documented with the reason, impact assessment, approving role, and date. Previous approved versions must remain traceable.

SECTION V – FINANCIAL MANAGEMENT AND RISK

13. The institution reviews relevant public financial management information and records the basis for determining whether additional fiduciary measures are necessary.

14. Financing proceeds must be used in accordance with the financing agreement and applicable exclusions. Controls and supporting records must permit the use of funds to be reviewed.

15. The institution identifies material operational risks and considers appropriate mitigation measures. The Member Country remains responsible for managing implementation risks. Risk acceptance must be documented by an authorized role.

16. If weaknesses are identified in financial management arrangements, the institution records the required corrective action, responsible owner, target date, and evidence required to close the issue.

17. Material control failures, overdue corrective actions, or inconsistencies in reported results must be escalated to the designated reviewer and considered in the next approval or supervision decision.

SECTION VI – DOCUMENTATION AND DISCLOSURE

18. A Program Document is prepared for each proposed operation and describes the operation, appraisal, principal evidence, material assumptions, risk assessment, and expected results.

19. The institution makes the Program Document publicly available after approval, subject to applicable disclosure requirements and permitted exceptions. Any withholding or redaction must have a recorded basis and approval.

20. An Evidence Register must link each material requirement and assessment to a source document, record owner, date, review status, and location. Evidence that is missing, outdated, contradictory, or insufficient must be marked for follow-up rather than treated as verified.

21. Supporting analysis and decision records must be retained in an access-controlled repository under the approved retention schedule. Changes to controlled records must preserve version history and reviewer traceability.

SECTION VII – MONITORING, EXCEPTIONS AND EFFECTIVE DATE

22. The institution reviews implementation progress at defined intervals and evaluates results using the indicators and sources of verification recorded in the Program Document. Material deviations must be explained and escalated.

23. An exception request must identify the provision, rationale, risk, compensating control, duration, accountable owner, and approving official. Approval and expiry or review date must be recorded.

24. A policy review must be documented when a material control failure, repeated evidence gap, or significant change in the financing framework indicates that the Policy may need revision.

25. This Policy takes effect on the date stated on its cover page. Questions regarding interpretation should be referred to the policy sponsor.

RELATED DOCUMENTS

- Program Document and supporting analysis
- Financing Agreement
- Implementation and Results Monitoring Plan
- Evidence Register and Risk Register